Harmwell Foods Ltd

Monthly board pack, June 2026

FINAL: signed off by A. Controller on 8 July 2026 at 09:00 UTC

Executive summary

EBIT was a loss of £46k: £193k below budget and £147k below last year.

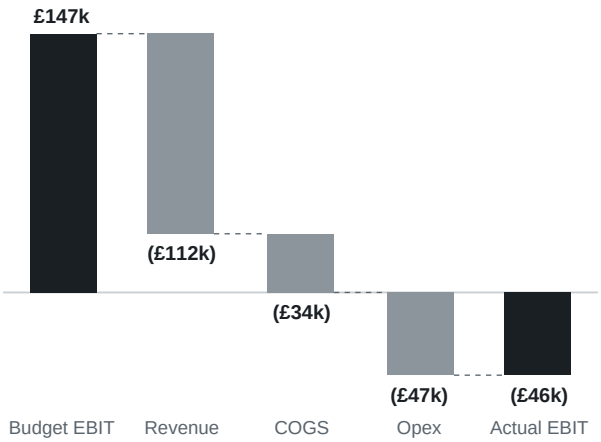
Against budget, revenue was £112k lower, COGS £34k higher and opex £47k higher; the gross margin was 4.1 pts lower. Against last year, revenue grew by £128k (5.5%), but the gross margin fell 3.7 pts to 35.0%.

Revenue	Gross profit	Gross margin	EBIT
£2.48m	**£866k**	**35.0%**	**(£46k)**
£112k (4.3%) below budget	£147k (14.5%) below budget	4.1 pts below budget	£193k below budget
£128k (5.5%) above last year	£42k (4.7%) below last year	3.7 pts below last year	£147k below last year

Commentary

Marketing was £298k, £38k (14.5%) above budget and 23.1% above last year. The Retail shortfall followed a fortnight's closure of the Leeds site, which cost £20k in lost sales.

The budget-to-actual bridge



From budget EBIT to actual EBIT. Each step is that part of the P&L against budget, as its effect on profit: revenue below budget, or a cost above it, lowers profit.

Main drivers of the variance against budget

Subtotal	Line	Impact on profit Fav/(Adv) £
Gross profit	Retail	(56,180)
	Ingredients	(37,310)
	Export	(28,810)
EBIT	Retail	(56,180)
	Marketing	(37,640)
	Ingredients	(37,310)

Computed from the P&L: each line's budget variance as its effect on profit. The commentary does not attribute; this table does.

Key performance indicators

	Actual	Target	Prior year	vs target	vs prior year
Headcount	214	205	198	9	16
DSO (days)	48	42	45	6	3
Gross margin, from the P&L	35.0%	39.1%	38.7%	(4.1 pts)	(3.7 pts)

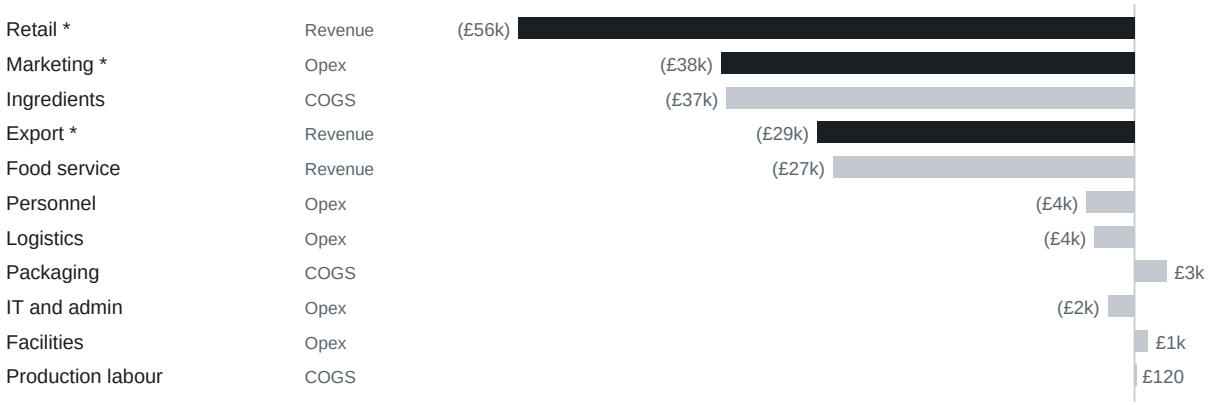
For gross margin the target is the budget margin.

Headcount was 214, 9 above target and 16 above last year.
DSO was 48 days, 6 days above target and 3 days above last year.
Gross margin, taken from the P&L, was 35.0%, 4.1 pts below budget and 3.7 pts below last year.

Profit and loss

Revenue was £112k (4.3%) below budget, with all three revenue lines below budget; COGS was £34k above budget and opex £47k above.

Each line's effect on profit against budget



Largest first, each with its part of the P&L: to the left of the line lowered profit, to the right raised it. Material lines are dark and marked *.

	Actual	Budget	Prior year	Fav/(Adv) vs budget		Fav/(Adv) vs prior year	
	£	£	£	£	%	£	%
Retail *	1,643,820	1,700,000	1,521,440	(56,180)	(3.3%)	122,380	8.0%
Food service	612,540	640,000	548,210	(27,460)	(4.3%)	64,330	11.7%
Export *	221,190	250,000	279,630	(28,810)	(11.5%)	(58,440)	(20.9%)
Revenue *	**2,477,550**	**2,590,000**	**2,349,280**	**(112,450)**	**(4.3%)**	**128,270**	**5.5%**
Ingredients	942,310	905,000	812,470	(37,310)	(4.1%)	(129,840)	(16.0%)
Packaging	318,970	322,000	296,180	3,030	0.9%	(22,790)	(7.7%)
Production labour	349,880	350,000	331,920	120	0.0%	(17,960)	(5.4%)
COGS	**1,611,160**	**1,577,000**	**1,440,570**	**(34,160)**	**(2.2%)**	**(170,590)**	**(11.8%)**
Gross profit *	**866,390**	**1,013,000**	**908,710**	**(146,610)**	**(14.5%)**	**(42,320)**	**(4.7%)**
Marketing *	297,640	260,000	241,880	(37,640)	(14.5%)	(55,760)	(23.1%)
Personnel	356,210	352,000	329,740	(4,210)	(1.2%)	(26,470)	(8.0%)
Logistics	141,560	138,000	127,310	(3,560)	(2.6%)	(14,250)	(11.2%)
Facilities	64,720	66,000	61,050	1,280	1.9%	(3,670)	(6.0%)
IT and admin	52,380	50,000	47,920	(2,380)	(4.8%)	(4,460)	(9.3%)
Opex	**912,510**	**866,000**	**807,900**	**(46,510)**	**(5.4%)**	**(104,610)**	**(12.9%)**
EBIT *	**(46,120)**	**147,000**	**100,810**	**(193,120)**	**n/m**	**(146,930)**	**n/m**
Gross margin	35.0%	39.1%	38.7%		(4.1 pts)		(3.7 pts)

Commentary on material lines

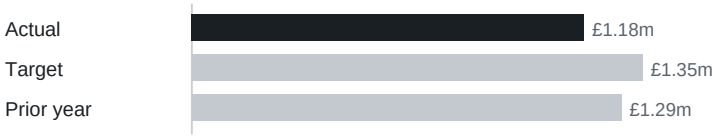
Retail was £1.64m, £56k (3.3%) below budget and 8.0% above last year. Export was £221k, £29k (11.5%) below budget and 20.9% below last year.

* Material: a variance against budget of £50,000 or 10.0% or more. The percentage test is not applied across a change of sign. Material rows are shaded and marked *.

Figures are calculated before rounding, so totals and differences may not add exactly.

Fav/(Adv): favourable variances are shown plain and adverse ones in brackets; for costs an overspend is adverse. n/m: not meaningful, because the comparator is zero or the sign changed.

Cash



	Actual	Target	Prior year	vs target	vs prior year
	£	£	£	£	£
Cash balance	1,176,000	1,350,000	1,288,000	(174,000)	(112,000)

Converted to pounds from the KPI file, which states cash in thousands.

The cash balance was £1.18m, £174k below target and £112k below last year.

Governance and sign-off

Entity and period: Harmwell Foods Ltd, June 2026.
Figures computed in tested Python from the source files.
Headline, summary line and table messages: computed from the figures.
Input files (SHA-256, first 12 characters): P&L 181f61a9cb93, KPIs 478ba4518e13.
Code version: 173b14b.
Materiality: a variance against budget of £50,000 or 10.0% or more, set by rule.
Commentary drafted by: the template; the model (Claude, via the Anthropic API) was not used.
Edited at review: Executive summary.
Reviewed and signed off by A. Controller on 8 July 2026 at 09:00 UTC.
Review run: 405aae1fb3e54cd5a03654e73ed09a6e.